

The 'Great Divergence'

(Alfani-Colli, ch. 2.2-3)

Economic history

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In this episode

- From Closed Worlds to Open World
- ***The Great Divergence or How did Europe become so powerful?***
- The reasons behind the European take off:
 - Demography
 - Geography
 - Institutions
 - Geo-politics

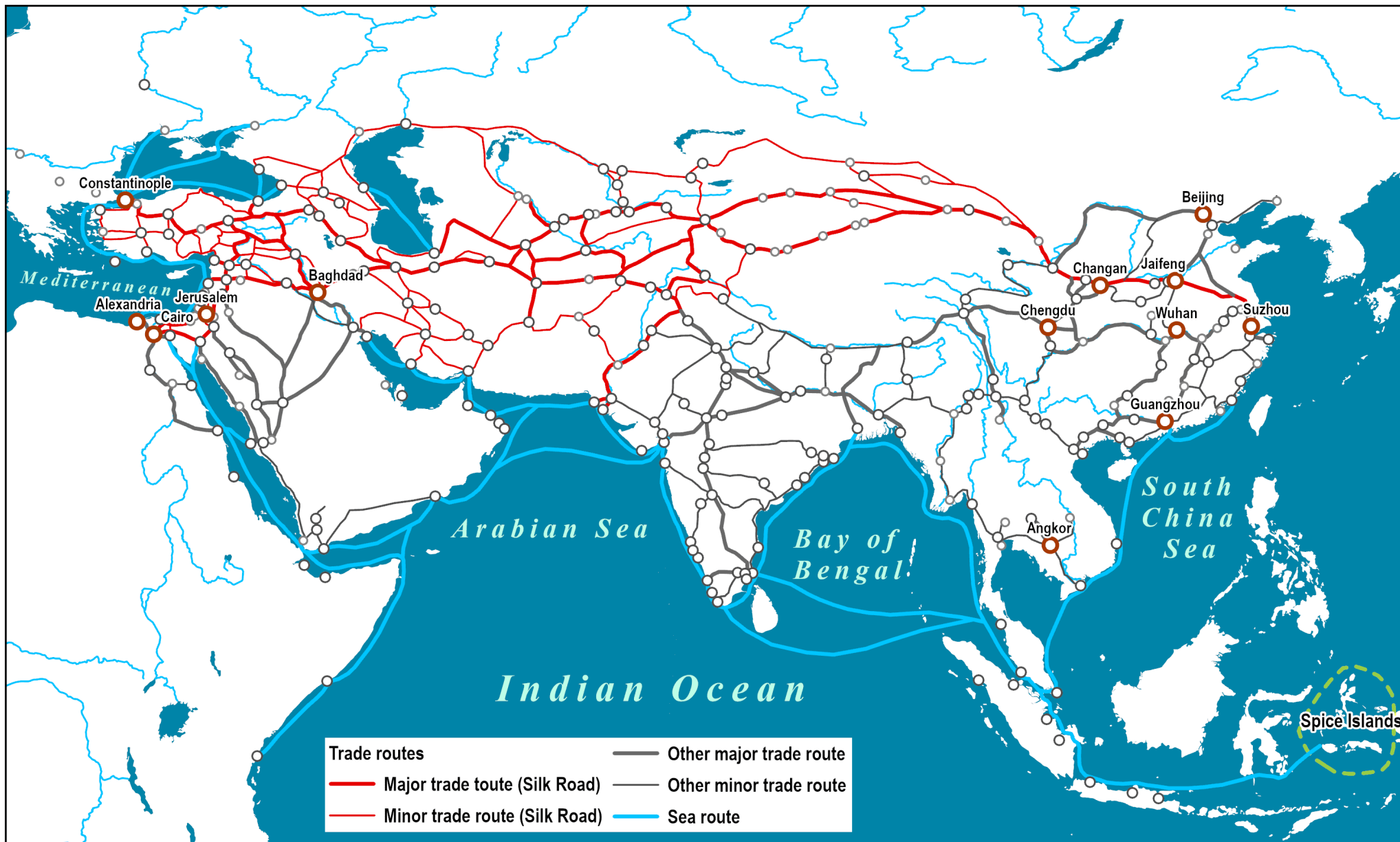
Figure 2.3. – Before the Great Opening: the main late medieval trade routes



Preindustrial ‘closed worlds’

- Until the end of the 13th century, Europe and the Mediterranean basin, East Asia and Central America were ‘closed worlds’.
 - They had important (internal) trade exchanges but were not economically integrated with each other.
- The period between **1450 and 1550** marks breaking point:
 - Thanks to geographical discoveries and the creation of new commercial and communication routes more and more areas of the planet ‘opened up’ to the outside world, giving rise to a **world economic system**.
- This opening up starts in Europe and the Mediterranean.

→ **Why?**

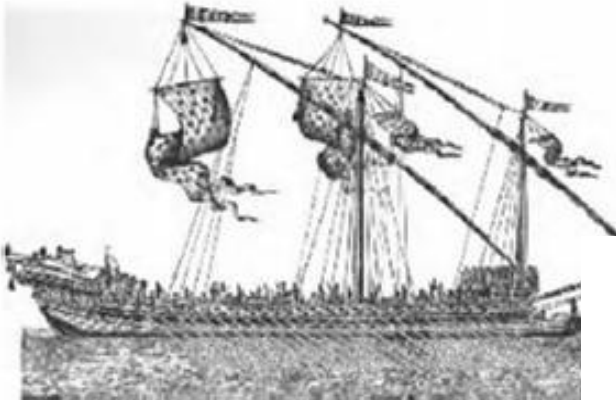


The centrality of the Mediterranean

- Until the end of the 15th century, the focus of European naval trade had been within the Mediterranean and dominated by the Italians.
 - The latter, led by the Venetians and Genoese, were the absolute leaders in trade with the East.
- From the Middle and Far East, the Mediterranean received mainly luxury products
 - Silks and porcelains, brocades, spices, or valuable raw materials such as alum and cotton.
- Towards the Levant, the Mediterranean sent
 - **woollen** and **linen cloths**, furs from northern Europe,
 - **metal products** (from central Europe and Lombardy),
 - **paper**, and **glass artefacts** (from Venice).

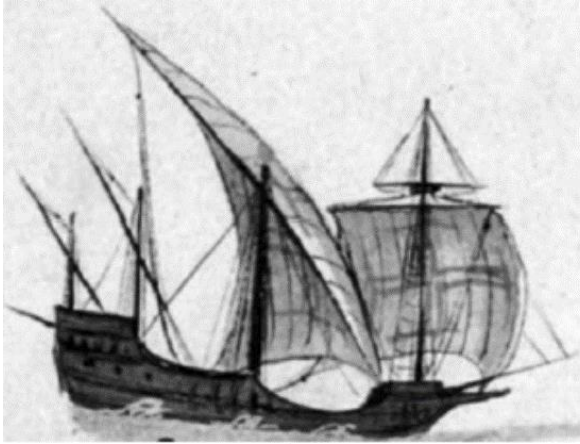
The first 'opening'

- At the end of the 13th century, Genoa and Venice organised the first trade expeditions to Flanders and England, thus connecting the Mediterranean with Northern Europe by sea, bypassing traditional land routes:
 - spices were exchanged for raw and semi-finished materials (metals and wool).



- In the same period, however, the ships available - **galleys and cocche** - were not suitable for the open ocean:
 - The Italians manage to go as far as Morocco but no further
 - The Genoese expedition in 1291 to attempt to circumnavigate Africa to reach the Indies failed

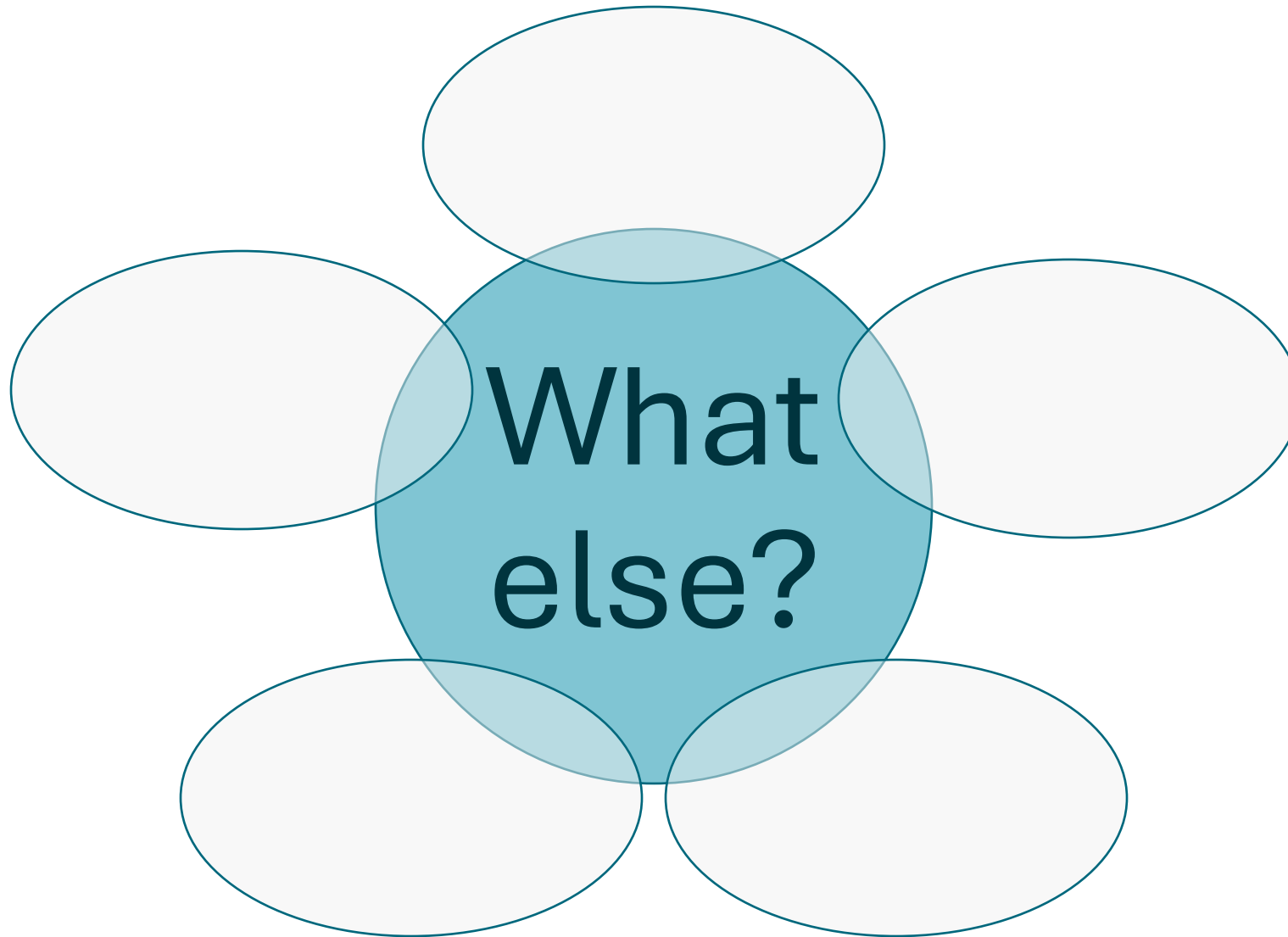
Premises of discoveries: Guns, Sails & Empires



- In the 15th century, shipbuilding developed considerably. Sturdier and faster ships, better suited to ocean navigation, were designed and built: caravels.

- In addition, we have significant improvements in navigation science: quadrant, nocturnal, astrolabe, nautical charts were invented or greatly improved in this period.
- Cannons were equally fundamental: commercial expansion often required military action...
- Taking advantage of these technological advances, the Portuguese, Dutch, and Flemish sought to enter the **lucrative trade with Asia**.





Opening closed worlds

- The **Portuguese** first gradually integrated into the trade between the **Mediterranean and the North Sea** and then they began to look south.
- In **1434** the Portuguese Gil Eanes rounded **Cape Bojador**
 - succeeding where the Italians had failed and changing the geopolitical balance in the Mediterranean.
- The consolidation of the supremacy of the Portuguese was further determined by the advance of the Turks in their conquest of the Orient. Italian merchants encountered increasing difficulties in the Levant (first Turkish-Venetian war in 1463-1479).
- The presence of the Ottoman Empire thus stimulated the search for other routes to the East to continue the rich trade in spices and high-value goods.

The age of Portuguese discoveries



- In 1427 the Portuguese discovered the Azores, 1500 km off Lisbon
- In 1434 Gil Eanes rounded Cape Bojador
- In 1487-88 Bartolomeo Diaz rounded Cape Good Hope
- Between 1497 and 1498 Vasco da Gama circumnavigated Africa and reached India at Calicut

The Portuguese conquests

- Methods and goals of Portuguese occupation:
 - establishment of **outposts** to control trade (in Africa to handle trade in high-value goods such as gold, ivory, spices from the Gulf of Guinea and, later, the slave trade)
 - only '**marginal**' territorial occupation
 - high rate of **resource extraction**

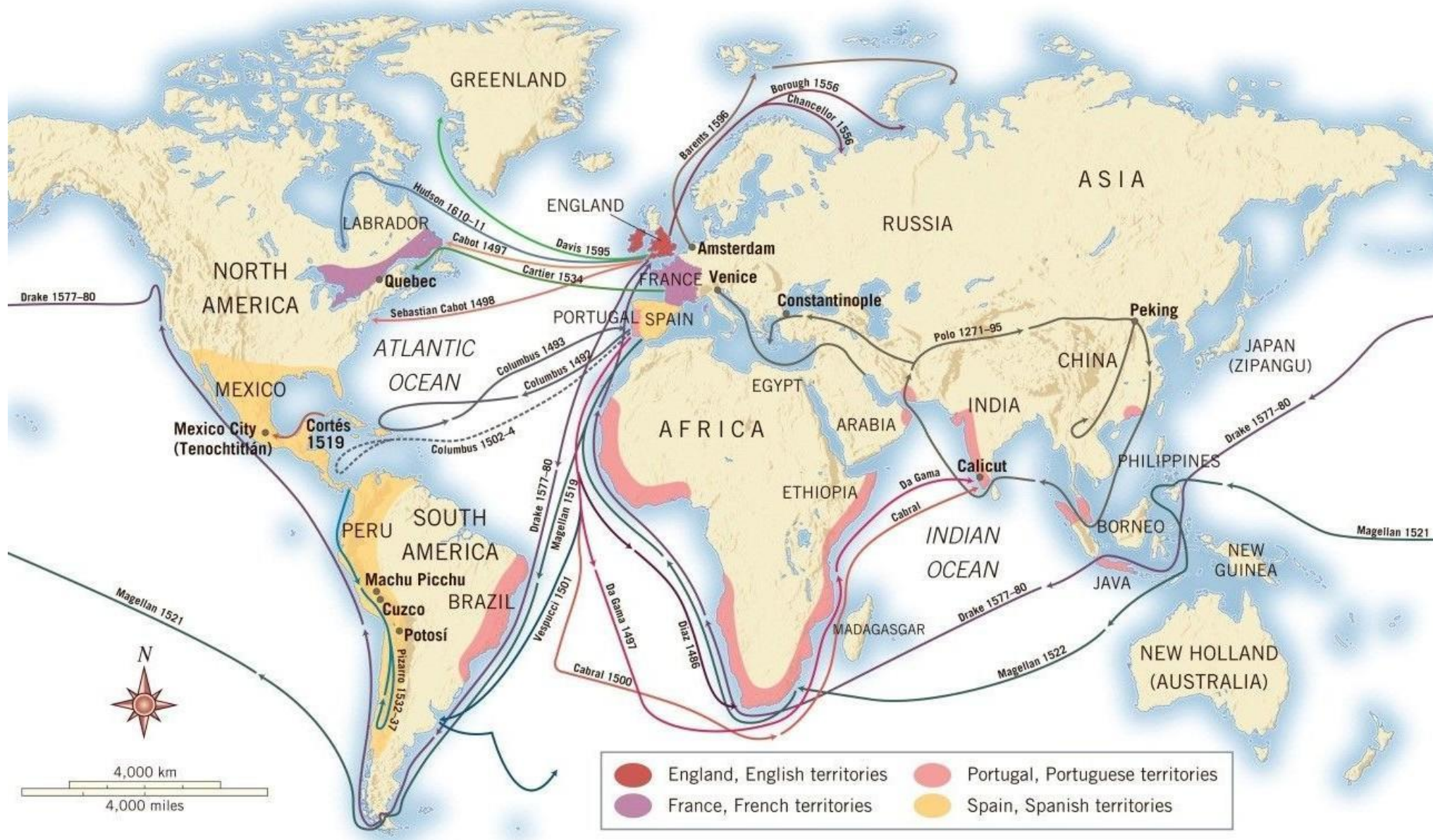
The Portuguese continued to aim for the East Indies:

→1510 Malacca Peninsula and Malaysia;

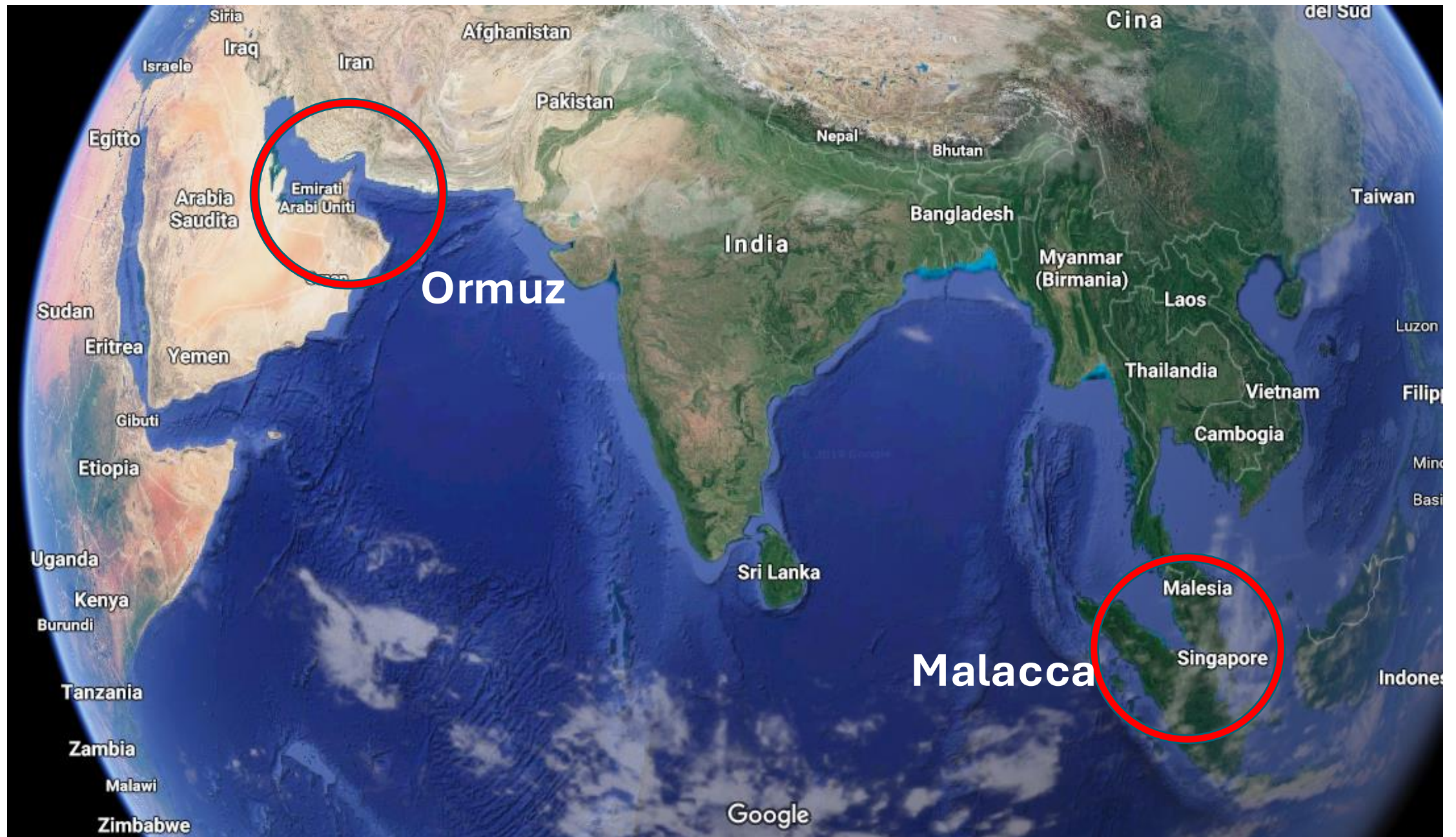
→1513 China;

→1543 Japan.

The Portuguese wrested the primacy of trade from Genoa and Venice (engaged in the clash with the Ottoman Empire) and supplanted the Arabs in the Indian Ocean.







The Spanish Empire

- Having completed the expulsion of the Arabs from the Iberian Peninsula (*Reconquista*), the Spanish rulers financed an expedition with the aim of **reaching Asia from the west**.
- In 1492, Christopher Columbus discovered the Americas. Despite its enormous historical significance, this discovery did not satisfy him too much:
 - he never wanted to believe he discovered a ‘new world’
 - he did not find the precious spices he was looking for and he had to ‘settle’ for gold and silver
- In the 1520s, the Spaniard Cortès initiated the exploration and conquest of the American continent. The key to the success of the conquistadors was the fragility of the local empires.

A new geopolitical order



Los tratados de Tordesillas y Zaragoza, celebrados con la mediación del Papa, supusieron el reparto efectivo de las nuevas rutas entre las Coronas de Castilla y Portugal. El viaje de Magallanes y Elcano, financiado por la Corona de Castilla, permitió demostrar definitivamente que la Tierra no es plana, sino esférica.

Proto-Globalisation

- Between 1435 and 1550, proto-globalisation began:
 - **Integration of previously distant markets** and gradual opening up of closed worlds
 - What cannot be produced locally is now traded (globally)
- **Mercantilist policies and the role of the state:**
 - Nations compete to hoard wealth (gold and silver) and keep the trade balance active (export > import)
 - Trade policy serves political power (wealth → strengthening military power)

Mercantilism

- ▶ The main tools used for mercantilism:
 - ▶ **Protectionism:** governments imposed high tariffs on imported goods to protect domestic industries from foreign competition.
 - ▶ **Trade monopolies:** state-chartered trading companies (like the East India Company) were created and granted monopolies to trade with specific regions.
 - ▶ **Export incentives:** the state provided subsidies and tax breaks to industries that produced goods for export.
 - ▶ **Colonialism:** colonies were seen as sources of cheap raw materials and exclusive markets for the mother country's products. The state was responsible for maintaining control over these colonies, often through military force.

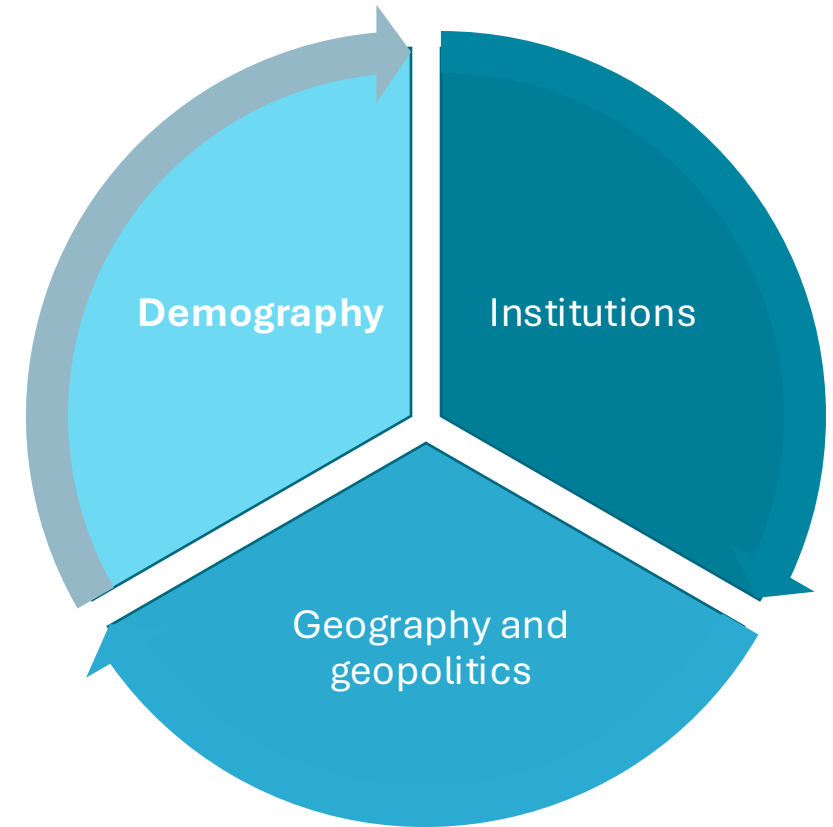
The Great Divergence

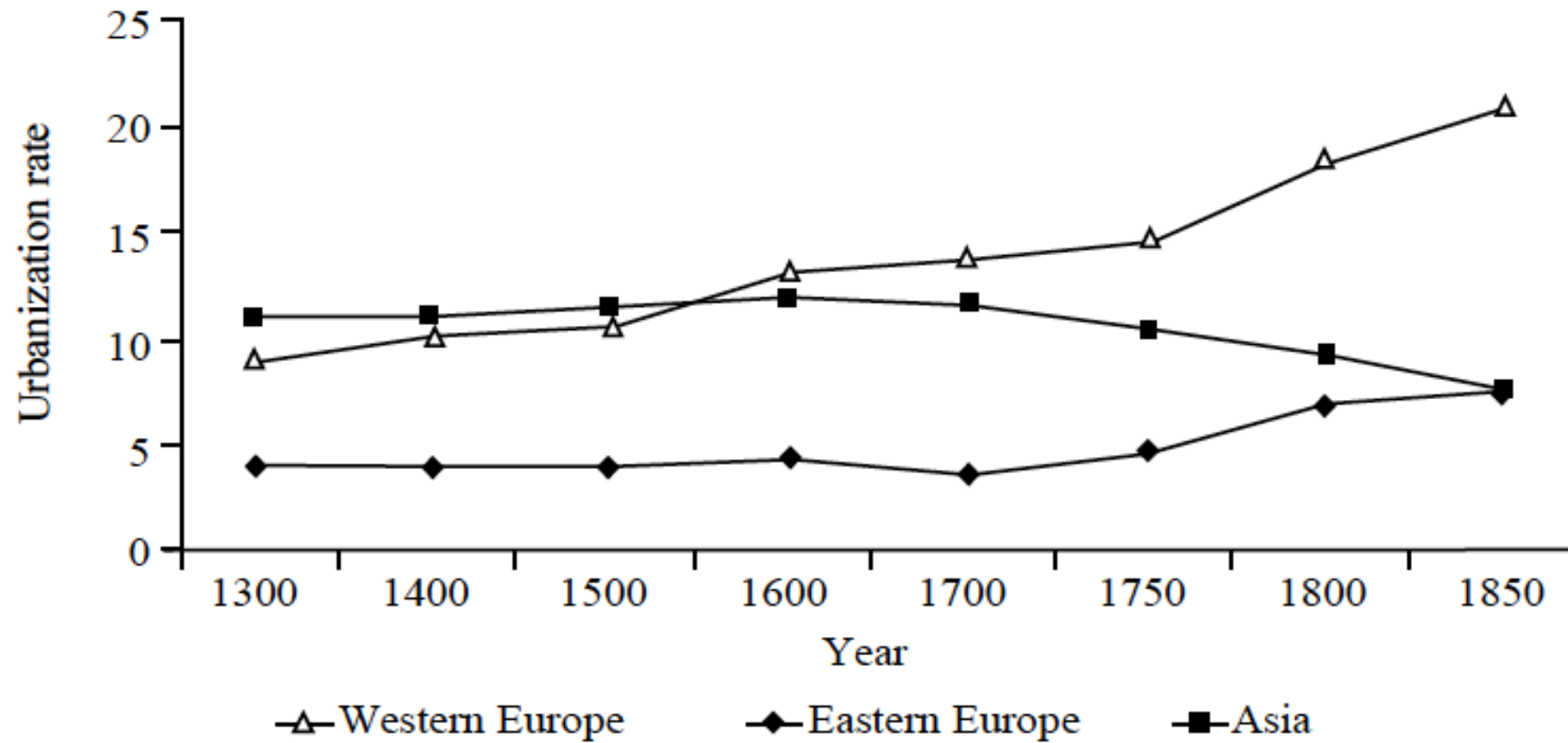
- The Great Divergence is the process by which:
 - Europe emerged as the richest area on the planet
 - the limits of the pre-industrial agrarian economies were progressively overcome
- The Great Divergence:
 - led to modern economic development (→ Industrial Revolution)
 - **but** had its roots in a series of pre-conditions and events
- **Until the end of the Middle Ages, Asia and Europe had the same preconditions.**
 - Indeed, in some fields, Asian civilisations had made key discoveries well before Europe

Explaining the Great Divergence

- From the 1500s onwards, Europe embarked on a divergent development trajectory compared to Asia, as shown by:
 - The gap in **urbanisation rates**
 - The dominance of the seas, **trade and intercontinental empires**
 - **Technological and scientific superiority**, which began to assert itself in those years
 - Better standards of living

However, scholars do not agree on the origins and causes of the Great Divergence. We can group the explanations into three categories!!!





Source: D. Acemoglu, S. Johnson, J.A Robinson, "The Rise of Europe", in *American Economic Review*, 2005. In the graph, Asia refers only to India and China.

How do we measure living standards?

1. Explaining the Great Divergence: Demography

**Higher population density
In Europe than Asia**

Ideas circulate quicker

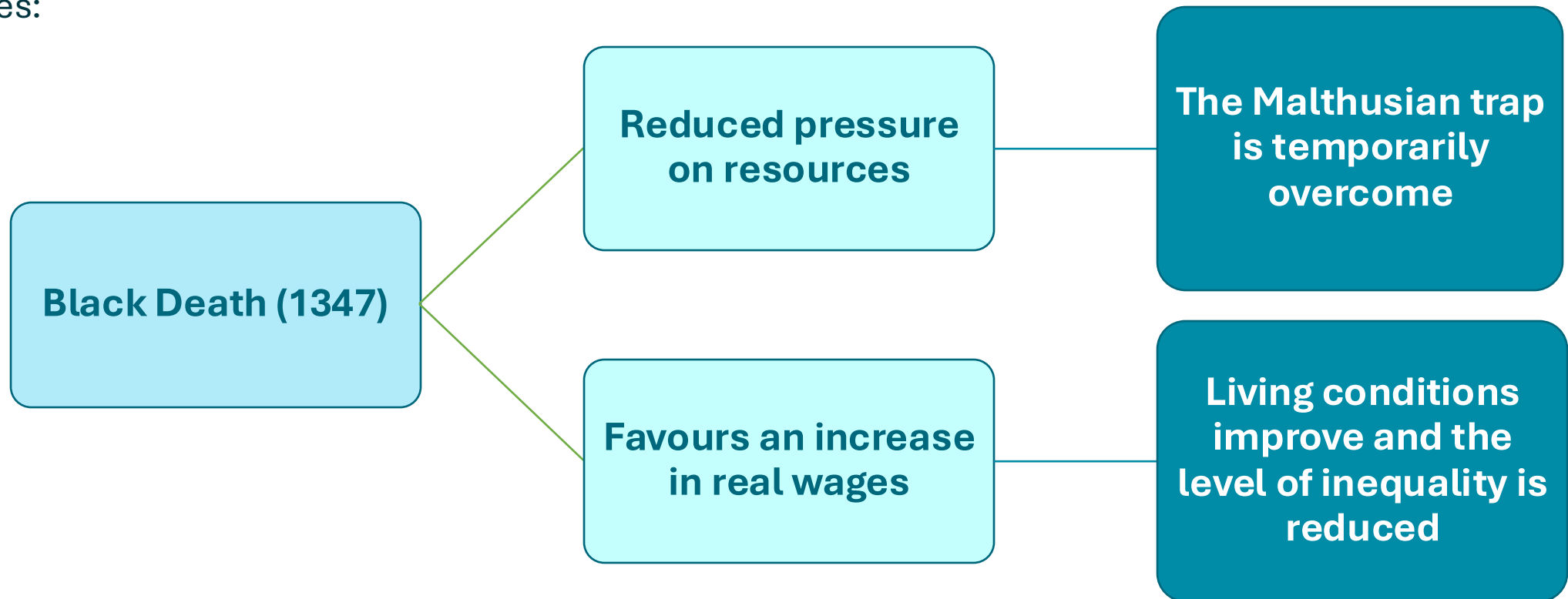
More pressure on resources



Innovation

1. Explaining the Great Divergence: Demography

According to historian G. Clark: the start of the Divergence should be backdated until the Middle Ages:

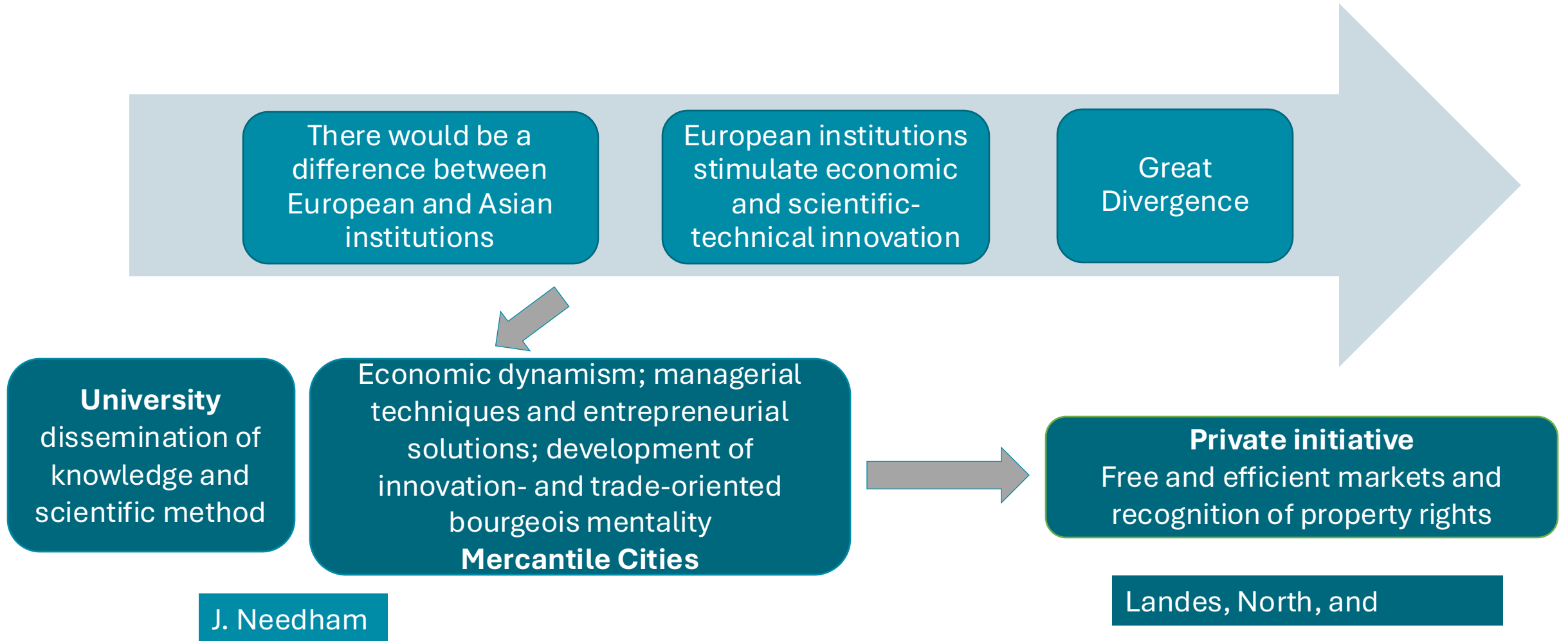


2. Explaining the Great Divergence: institutions

“**Institutions** are the rules of the game in a society or, more formally, are the humanly devised constraints that shape **human interaction**. In consequence they structure incentives in **human exchange**, whether political, social, or economic.”

Douglass North, 1994

2. Explaining the Great Divergence: Institutions



3. Explaining the Great Divergence: geopolitics

Natural
barriers

- Small states in Europe (competition and innovation)
- Great empires in Asia (social stability at the expense of innovation)

J. Diamond

Access to the
Americas

- Fresh resources to overcome natural constraints in Europe
- Development of energy-intensive sectors (coal)

K. Pomeranz

Colonialism

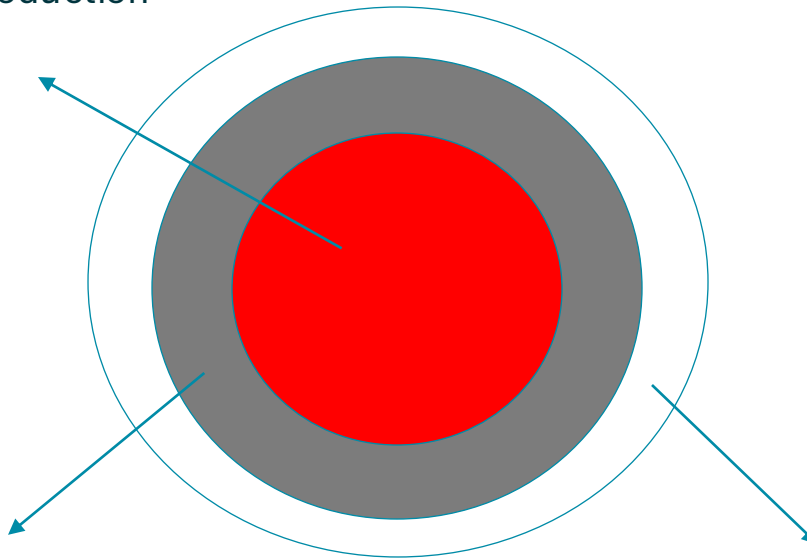
- Europe extensively exploited the conquered territories by creating a system with centres, semi-peripheries and peripheries

I. Wallerstein

The world system

Core
It drives the economy, and the highest value-added production is concentrated there

Semi-periphery
Political weight is limited but economic weight is significant



Periphery
Economic and political clout are limited. There are simple productions and the most important raw materials

- According to Immanuel Wallerstein's interpretation, within the economy-world there is an international division of labour and political weight (hegemony)
- Economic exchanges and power relations are highly asymmetrical.
- Capitalism is a world-economy.
- Development and underdevelopment are two sides of the same coin

